Services Australia – Child Support Assessments, Parental Care Disputes, Financial Disparity and Accumulating Hardship (2025–2026)

Document Date Range: 25 February 2025 – 21 March 2026
Relevant Historical Period: 23 April 2024 – 21 March 2026
Parties: Stephen Christopher Cooke and Heather Anne Cooke
Children: Christian Finn and Joshua Finn
Issuing Authority: Services Australia – Child Support

Summary of Events and Documentary Significance

These documents record a series of administrative decisions by Services Australia concerning parental care arrangements, child support assessments, income estimates, objections and accumulating financial liabilities following the breakdown of the marriage between Stephen Cooke and Heather Cooke.

The records must also be considered within the broader circumstances of the family's separation and subsequent family law proceedings, particularly Stephen's approximately ten-year role as a stay-at-home father and primary homemaker, the substantial disparity in the parents' earning capacities, the progressive reduction in his recognised parental care, and the financial hardship that followed.

1. Historical Caregiving and Financial Circumstances

Throughout much of the marriage, Stephen undertook primary responsibility for raising the couple's two children, Christian and Joshua, and managing the family household, while Heather pursued her professional career as a cardiologist.

This division of responsibilities resulted in significantly different financial circumstances and earning capacities following separation.

The child support assessment issued on **1 April 2025** recorded the following adjusted taxable incomes:

- **Stephen Cooke: A$8,709**
- **Heather Cooke: A$558,790**

Heather's recorded adjusted taxable income was approximately **64 times greater than Stephen's**. After statutory deductions, the assessment attributed A$0 in child support income to Stephen and A$528,949 to Heather.

This financial disparity is particularly significant when considered against Stephen's history of unpaid caregiving, which had supported the family household but did not provide him with comparable independent income or earning capacity.

2. Recognition and Dispute of Parental Care (April 2024 – February 2025)

Services Australia's correspondence dated 25 February 2025 recorded that the children's care arrangements had changed on 23 April 2024. Following notification received on 4 February 2025, Services Australia recognised the following care percentages:

- Stephen: 38%
- Heather: 62%

At that stage, Heather was assessed as responsible for paying child support to Stephen, with correspondence recording an ongoing monthly amount of A$1,098.50.

On 17 February 2025, Stephen sought recognition of a 42% care arrangement, referring to the parenting orders made by the Federal Circuit and Family Court of Australia on 23 April 2024. Services Australia declined the requested adjustment on 25 February 2025, and Stephen lodged an objection that same day. The disagreement concerned whether the recorded care percentages accurately reflected the relevant parenting arrangements.

3. Reduction of Parental Care and Reversal of Financial Responsibility (March – April 2025)

A significant change occurred effective **6 March 2025**, when Services Australia recorded Stephen's parental care as having decreased from 38% to 0%, while Heather's increased from 62% to 100%.

The updated assessment issued on 31 March 2025 confirmed this change and reduced the amount payable by Heather by A$902.26 for the affected assessment period.

On 1 April 2025, Services Australia issued a new assessment establishing that Stephen was required to pay Heather:

- A$3,536 annually
- A$294.67 monthly

This obligation arose despite the assessment recording Stephen's adjusted taxable income as A$8,709 compared with Heather's A$558,790. The assessment applied statutory fixed-rate child support provisions.

Although the assessment may have followed the applicable legislative formula, its financial consequences raise a substantial question of fairness and proportionality, particularly given Stephen's history of unpaid caregiving, limited independent earning capacity, and the significant disparity between the parents' incomes.

The change also occurred during a period of considerable disruption to Stephen's personal circumstances, including mental health treatment in March 2025 and the subsequent suspension of parenting time in April 2025. The child support records establish the administrative reduction in recognised care but do not independently establish the reasons for the interruption in parenting time or whether those circumstances were justified.

4. Attempts to Address Income Assessment (May – June 2025)

On 21 May 2025, Stephen submitted an estimate of income to Services Australia. On 27 May 2025, Services Australia requested further contact concerning the estimate.

On 16 June 2025, the agency advised that it could not accept the estimate because Stephen had not provided the required year-to-date income information. Consequently, the existing child support assessment remained in effect.

Importantly, the rejection was based on missing information rather than a determination that Stephen's actual income was higher than reported. The correspondence therefore documents an unsuccessful administrative attempt to adjust the assessment during a period of substantial financial vulnerability.

5. Objection to Parental Care Determination (February – November 2025)

Stephen's objection to the February 2025 care determination remained unresolved for several months.

On 6 October 2025, Services Australia formally acknowledged the objection. The subsequent decision records that Heather was contacted on that date and declined to participate in the objection process.

On **8 November 2025**, Services Australia disallowed Stephen's objection seeking recognition of 42% care rather than 38%. The agency explained that a parenting order alone was insufficient to establish that the corresponding care arrangement was actually occurring. It considered that further evidence was required to support the requested determination.

The decision therefore left the earlier care assessment unchanged. This distinction between court-ordered parenting arrangements and care recognised for child support purposes is particularly important.

Where a parent's ability to exercise court-ordered care is interrupted, the resulting reduction in recognised care can have substantial financial consequences, regardless of the reasons for that interruption. However, the November objection decision concerned the earlier 42% care request and did not constitute a separate review of the March 2025 reduction to 0%.

6. Accumulation of Financial Liabilities (2025–2026)

The child support obligations developed against a wider background of substantial legal expenses, reduced financial independence and continuing family law proceedings. Stephen subsequently entered bankruptcy in November 2025. Despite these circumstances, child support liabilities continued to accumulate.

The account statement issued on **21 March 2026** recorded:

- Overdue balance: A$2,707.40
- Current charges: A$315.57
- **Total outstanding balance: A$3,022.97**
- Accumulated late-payment penalties included in the balance: A$78.22

The statement demonstrates the continued accumulation of financial obligations following the reversal of the assessed child support arrangement. It does not, by itself, establish whether Stephen qualified for any available exemption, variation, payment arrangement or remission of penalties.

Broader Context and Fairness Concerns

Considered collectively, these documents raise questions extending beyond the arithmetic of the child support assessment.

Stephen's circumstances involved a progression from approximately a decade of unpaid parental caregiving to separation, reduced recognised parental care, substantial legal expenditure, financial hardship and eventual bankruptcy.

Throughout this period, the child support assessment recorded an extraordinary disparity in parental income, with Heather earning approximately 64 times Stephen's adjusted taxable income. Nevertheless, following the reduction of Stephen's recognised care to zero, he became financially responsible for paying child support to Heather.

The central concern is not necessarily that Services Australia incorrectly applied its statutory formula, but whether the combined operation of parenting arrangements, administrative care determinations and child support legislation produced an outcome that adequately accounted for the parties' markedly different financial circumstances.

In particular, the documents raise three matters warranting further examination:

- 1. Whether the reduction in Stephen's recognised parental care accurately reflected the relevant circumstances and was supported by the appropriate evidence.
- 2. Whether the fixed-rate child support assessment and subsequent penalties appropriately accounted for Stephen's financial position and any applicable statutory relief.
- 3. Whether the financial consequences arising from interrupted parenting arrangements were adequately considered within the broader family law proceedings, particularly given Stephen's previous caregiving role and substantially lower earning capacity.

These concerns should be distinguished from findings of legal error or misconduct. The correspondence establishes the decisions made and their recorded financial consequences, but does not independently establish

that any party or authority acted improperly.

Overall Documentary Significance

The central significance of this collection is the documented progression from recognised parental caregiving and entitlement to receive child support, to the complete removal of recognised care and the imposition of financial obligations upon the substantially lower-income parent.

The records establish that:

- Stephen had undertaken a longstanding unpaid caregiving role within the marriage.
- Heather's recorded adjusted taxable income was A$558,790, compared with Stephen's A$8,709.
- Stephen's recognised care decreased from 38% to 0% in March 2025.
- The child support obligation subsequently reversed, requiring Stephen to pay Heather A$3,536 annually.
- Stephen's attempts to revise his income estimate and challenge an earlier care determination did not produce the requested changes.
- By March 2026, Services Australia recorded A$3,022.97 in outstanding child support and penalties.

Taken together, the documents illustrate how changes in recognised parental care can substantially alter financial responsibilities, even where the parent assuming the obligation has dramatically lower income and a history of unpaid caregiving.

When considered alongside the wider family law proceedings, the records provide a factual foundation for examining whether the cumulative administrative and financial consequences were proportionate, adequately supported by evidence, and responsive to Stephen's circumstances.

They do not, without further evidence, establish unlawful conduct or deliberate financial punishment. They do, however, document a significant deterioration in Stephen's financial position alongside the loss of recognised parental care, despite the considerable income disparity between the parents.